

American healthcare, it changed the way people pay for it. As with most tax laws, as we'll discuss in Chapter 6, ACA subsidies are based on income.

Many who are FI can have considerable wealth without a big income. They can benefit from subsidies and buy medical insurance at steep discounts or even get it for free by structuring income wisely. Justin of the blog *Root of Good* noted on the *ChooseFI* podcast that he is able to obtain health insurance for his family of five at very affordable rates due to the way he structures his income in early retirement. As with many features of the tax code, ACA subsidies are generally friendly to those in the FI community, especially those who opt for a more traditional retirement with little earned income.

Buying insurance as an individual on the open marketplace still presents challenges. Relying on subsidies to get affordable insurance over the long-term is a gamble, especially as the law is under frequent political attack. This creates a planning challenge. Purchasing insurance can also be very expensive for those who continue to earn income rather than opting for early retirement after achieving FI.